

**Submitted via the Federal eRulemaking Portal (regulations.gov),
Docket No. NCUA-2026-1024 (supplemental comment)**

Melane Conyers-Ausbrooks
Secretary of the Board
National Credit Union Administration
1775 Duke Street
Alexandria, Virginia 22314-3428

June 22, 2026

Re: Supplemental comment on Docket No. NCUA-2026-1024; RIN 3133-AG10, Implementing the GENIUS Act for the Issuance of Stablecoins by Entities Subject to the Jurisdiction of the NCUA (91 Fed. Reg. 28956). This supplements the comment of Tokenization Systems filed June 22, 2026, comment tracking number mqp-6xf4-2irf.

Dear Ms. Conyers-Ausbrooks:

Tokenization Systems submits this supplemental comment to make its principal comment easier for the agency to route and act on. It adds no new recommendations. It (1) summarizes the eleven recommendations in a routing table keyed to the NCUA's questions, (2) sets out where the NCUA proposal aligns with or diverges from the sibling GENIUS Act rulemakings, (3) offers suggested rule text for the five highest-priority asks, (4) responds to anticipated objections, and (5) consolidates the sources relied on. The principal comment remains the comment of record.

I. Recommendation routing table

Recommendation	NCUA questions	Requested final-rule action	Why it matters
1. Mandatory reserve diversification floors	58, 68, 69	Make the single-institution concentration cap and the daily and weekly liquidity minimums binding, not an optional safe harbor	An 8 percent single-bank concentration drove the March 2023 USDC depeg; an optional cap defers the safeguard to examination
2. Public reserve-location disclosure	83, 86, 87	Require the monthly public report to name reserve-holding institutions and split insured from uninsured	The 2023 risk was reserve location, which composition-only reporting hides until failure
3. Technology-neutral part 745	173 to 176	Finalize Section 745.2(f) as proposed, not narrowed to tokenized shares	A liability's character turns on substance, not recordkeeping substrate
4. No-pass-through plus disclosure plus FDIC coordination	39, 167 to 172	Pair the determination with a mandatory three-category holder disclosure; coordinate the posture with the FDIC	IDI reserve deposits and FICU reserve Share Accounts are economically identical; divergence drives placement arbitrage

Recommendation	NCUA questions	Requested final-rule action	Why it matters
5. Claim-on-Share-Account classification	180	Classify it as a payment stablecoin backed by tokenized shares, not as a tokenized share	Prevents escaping the issuance perimeter by one level of indirection
6. Direct-redemption access plus count disclosure	103	Require redemption for any holder who clears screening and onboarding; disclose the count of direct-redemption accounts	Tether grants direct redemption to 882 accounts and Circle to 1,834; onboarding friction can otherwise narrow the channel
7. Stress-state fee cap plus all-holder notices plus unified disclosure	97, 99, 101, 102	Cap redemption fees at documented cost in the extended-redemption state; notice all holders; unify the disclosures	An unconstrained mid-run fee is a discretionary redemption limitation by pricing
8. Objective variable capital floor	153, 154	Add an issuance-scaled minimum beneath the individualized requirement and the \$5 million de novo floor	Prevents post-de-novo capital from drifting across regulators by examiner negotiation
9. Insolvency rules, resolution plans, traceability, waiver visibility	37, 86, 143, 188	Adopt insolvency implementing rules; require issuance-scaled resolution plans and continuous reserve traceability; disclose Section 10(c)(3) waivers	Going-concern segregation is not priority effective in a resolution
10. Cross-agency coordination and footnote 160	1, 2, 126, 131	Develop the quarterly report and primary-regulator designation interagency; resolve the discretionary-redemption-limitation authority explicitly	A common format and a pre-set designation remove the arbitrage an applicant could exploit by structuring
11. Size-scaled stress testing	194	Require a mandatory March 2023-calibrated scenario; publish summary results	The depeg transmission channel is measured, not hypothesized, and reusable by every issuer
Observation: operational backstop	preamble	Preserve the twelve-month backstop	Cross-agency consistency with the FDIC calibration is itself valuable

II. Cross-agency alignment and divergence

The distinctive contribution of the principal comment is that Tokenization Systems has commented on every GENIUS Act implementing rulemaking and can therefore identify where the NCUA proposal and its siblings diverge in ways that invite charter arbitrage. The key points:

Issue	NCUA proposal	Sibling proposal	Recommended alignment
Single-institution concentration cap	Optional safe harbor (Option A) or mandatory (Option B)	FDIC RIN 3064-AG19: mandatory at proposed Section 350.4(f)	Make it mandatory at the NCUA; an optional cap invites IDI-versus-FICU arbitrage
Reserve pass-through to holders	No pass-through	FDIC: no pass-through (more categorical than the statute requires)	Coordinate before finalizing; do not let the posture diverge across the two funds
De novo capital floor	\$5 million (tracks the OCC)	OCC: \$5 million at proposed 12 CFR 15.41(a)(1)(i)(B)	Aligned; add an objective issuance-scaled floor, calibrated jointly
Operational backstop	Twelve months of expenses	FDIC RIN 3064-AG19: twelve months	Aligned; preserve
Technology-neutral treatment	Part 745 (Section 745.2(f))	FDIC: technology-neutral deposit clarification	Aligned; finalize as proposed
Discretionary-redemption-limitation authority	Inferred (the NCUA is not listed in Section 4(a)(1)(B)(i))	FDIC, OCC, Federal Reserve, state regulators: expressly listed	Cure by joint interpretation now; seek a conforming statutory amendment later

III. Suggested rule text for the five highest-priority asks

These are offered as drafting starting points, not as preferred verbatim language; the calibration values are the proposal's own.

1. Reserve floors. Revise proposed Section 706.202(c) to make the single-institution concentration cap and the daily and weekly liquidity minimums mandatory: adopt Option B, or retain Option A while providing that those elements are required floors rather than safe-harbor factors.
2. Reserve-location disclosure. Revise proposed Section 706.202(e) to require the monthly public report to identify by name each Eligible Financial Institution holding Reserve Assets or Share Accounts and to state the insured and uninsured amount held at each.
3. Direct-redemption access. Revise proposed Section 706.203 to require a PPSI to redeem for any holder who completes the PPSI's published Customer screening and onboarding criteria, and to require the public redemption policy under Section 706.203(a) to state the number of accounts that hold direct redemption rights.
4. Capital floor. Revise the capital standard to add, beneath the individualized requirement and the \$5 million de novo floor, an objective minimum equal to a stated percentage of Outstanding Issuance Value, with the percentage calibrated jointly with the OCC and FDIC so the floor is common across charters.

5. Stress testing. Require a PPSI above a stated issuance threshold to conduct periodic stress tests that include a mandatory single-custodian-failure scenario applied to the issuer’s actual reserve-concentration profile under Section 706.202(c), paired with a redemption run calibrated to the Section 706.203(c) extended-redemption trigger, and to publish summary results.

IV. Anticipated objections

Reserve-location disclosure (confidentiality or run risk). Naming reserve-holding institutions can be calibrated so it does not create a real-time run-targeting tool: report the names and the insured-versus-uninsured split on the existing monthly cycle (a lag that defeats real-time targeting), or, if the agency prefers, disclose concentration in banded form (the share of reserves at the single largest institution and at the top three, in percentage bands) rather than naming each institution. The NCUA already collects the institution-level data in its weekly confidential report; the recommendation moves a calibrated version of it to the public monthly report.

Direct redemption (AML and sanctions neutrality). The ask preserves neutral, risk-based screening. A PPSI applies its published Customer Identification and screening criteria to every holder equally and redeems for any holder who clears them. The recommendation removes only the discretionary channel-narrowing that screening policy could otherwise accomplish; it does not require redeeming for an unscreened or sanctioned party, and it does not weaken anti-money-laundering or sanctions controls.

Footnote 160 (what the rule can do now versus what needs a statute). The NCUA can act within the final rule and need not wait for Congress. In the final rule the agency can ground the discretionary-redemption-limitation authority in the provisions the proposal already cites, state that basis explicitly, and commit to a joint interagency interpretation. A conforming technical amendment to GENIUS Act Section 4(a)(1)(B)(i) that adds the NCUA to the enumerated list is the durable fix only Congress can make; it is desirable but not a precondition for finalizing the rule. Separating the two keeps the final rule from becoming hostage to a statutory change.

V. Sources relied on

- Chuan Du, Ria Sonawane, and Cy Watsky, “In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins,” FEDS Notes (Board of Governors of the Federal Reserve System, December 17, 2025), DOI 10.17016/2380-7172.3958.
- Christopher K. Odinet, Andrea Tosato, and Yesha Yadav, “The Moneyness of Stablecoins,” 136 Yale Law Journal (forthcoming 2026).
- Cy Watsky and others, “Primary and Secondary Markets for Stablecoins,” FEDS Notes (Board of Governors of the Federal Reserve System, February 23, 2024).
- Conference of State Bank Supervisors, Money Transmission Modernization Act (model law), Section 10.01(a).

- Financial Stability Board, Key Attributes of Effective Resolution Regimes for Financial Institutions (October 2014), Key Attribute 11.3.
- President’s Working Group on Financial Markets, Federal Deposit Insurance Corporation, and Office of the Comptroller of the Currency, Report on Stablecoins (November 2021).
- Sandeep Vaheesan, “Lawbreaking as a Method of Competition,” 75 American University Law Review (forthcoming 2026), SSRN 5433014.
- William Dudley and Nellie Liang, public comment to the OCC on GENIUS Act implementation (May 2026).

Respectfully submitted,

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